

MOCK TEST – EMPLOYMENT AND UNEMPLOYMENT IN INDIA

Class 12 – Chapter 4 (NCERT – Indian Economic Development)

Time	1 hour 30 minutes
Maximum Marks	80
Sections	A (MCQs), B (Very-Short Answers), C (Short Answers), D (Long Answers)
Calculators	Not allowed (data tables provided where required)
Rough work	Use the last page of the answer-sheet.

SECTION A – MULTIPLE CHOICE QUESTIONS (30 × 1 = 30 MARKS)

Choose the correct option (A, B, C or D).

1. The “Labour Force Participation Rate (LFPR)” is defined as:

- (A) Percentage of population that is employed
- (B) Percentage of working-age population that is employed or seeking employment
- (C) Ratio of employed to unemployed persons
- (D) Ratio of women to men in the workforce

2. Which of the following is a form of “disguised unemployment”?

- (A) A person without a job but actively seeking work
- (B) A person working less than his/her capacity on a family farm
- (C) Seasonal unemployment in agriculture
- (D) Structural unemployment in manufacturing

3. According to the Periodic Labour Force Survey (PLFS), the unemployment rate in urban India (latest data) is approximately:

- (A) 2 %
- (B) 5 %
- (C) 8 %
- (D) 12 %

4. The “Organised Sector” in India includes:

- (A) All micro-enterprises and self-employed persons
- (B) Government jobs, public-sector undertakings and private-sector firms with more than 10 workers
- (C) Casual wage workers in construction
- (D) Agricultural labour

5. The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) guarantees:

- (A) 50 days of wage employment per year to each rural household
- (B) 100 days of wage employment per year to each rural household
- (C) 150 days of wage employment per year to each rural household
- (D) Unlimited wage employment on demand

6. Which of the following is NOT a type of unemployment?

- (A) Frictional unemployment
- (B) Seasonal unemployment
- (C) Voluntary unemployment
- (D) Cyclical unemployment

7. The “National Sample Survey (NSS) 68th Round” mainly focused on:

- (A) Consumer expenditure only
- (B) Employment and unemployment situation in India
- (C) Agricultural production only
- (D) Health and education only

8. “Self-employment” is best described as:

- (A) Working for a wage or salary under an employer
- (B) Running one’s own business or farm without being employed by another
- (C) Working on a daily-wage basis in the informal sector
- (D) Working as a contract labourer

9. The “Casual labour” category refers to:

- (A) Workers employed on a permanent basis with benefits
- (B) Workers hired for a short period without any social security benefits
- (C) Self-employed professionals such as doctors
- (D) Government employees

10. Which of the following is a characteristic of the “Unorganised Sector”?

- (A) Fixed working hours and social security benefits
- (B) Lack of formal contracts, low wages, and no job security
- (C) High productivity and large capital investment
- (D) Predominance of public-sector enterprises

11. The “Worker-Population Ratio (WPR)” measures:

- (A) Percentage of employed persons in the total population
- (B) Ratio of employed to total labour force
- (C) Ratio of women workers to men workers
- (D) Percentage of labour force that is unemployed

12. The “Sectoral distribution of workforce” in India (as per recent data) shows that the largest share of workers is employed in:

- (A) Agriculture
- (B) Manufacturing
- (C) Services
- (D) Construction

13. The “Skill India” mission aims at:

- (A) Providing free education to all children up to class 12
- (B) Upskilling the youth for better employment opportunities
- (C) Building roads in rural areas
- (D) Offering free health check-ups

14. The “Pradhan Mantri Mudra Yojana” provides:

- (A) Credit to large-scale industries
- (B) Loans up to ₹10 lakh for micro-enterprises (Shishu, Kishore, Tarun)
- (C) Employment guarantee to urban workers
- (D) Subsidised housing for the poor

15. Which of the following is a reason for “jobless growth” in the Indian economy?

- (A) High rate of agricultural growth
- (B) Increase in labour-intensive industries
- (C) Economic growth driven by capital-intensive sectors (e.g., IT, services)
- (D) Expansion of the informal sector

16. The “Employment Exchange” in India primarily:

- (A) Provides jobs directly to all registrants
- (B) Acts as a liaison between job-seekers and employers
- (C) Offers skill-training programmes
- (D) Provides unemployment benefits

17. “Underemployment” refers to:

- (A) A situation where a person is willing to work but cannot find a job
- (B) A situation where a person works less than full-time or is in a job that does not utilise his/her full capacity
- (C) A situation where a person works in the unorganised sector
- (D) A situation where a person is self-employed but earns below minimum wages

18. The “National Career Service (NCS)” portal was launched to:

- (A) Provide free textbooks to students
- (B) Offer online job-matching services and career counselling
- (C) Register farmers for Minimum Support Price
- (D) Facilitate direct benefit transfers

19. “Disguised unemployment” is most commonly observed in:

- (A) The IT sector
- (B) The agricultural sector (especially in small farms)
- (C) The banking sector
- (D) The transport sector

20. Which of the following schemes is specifically aimed at providing wage employment to urban poor?

- (A) MGNREGA
- (B) Swarna Jayanti Shahari Rozgar Yojana (SJSRY)
- (C) Pradhan Mantri Gram Sadak Yojana
- (D) Kisan Credit Card

21. The “Gig economy” in India refers to:

- (A) Traditional manufacturing jobs with fixed contracts
- (B) Short-term, flexible jobs often mediated through digital platforms (e.g., ride-hailing, delivery)
- (C) Government jobs with pension benefits
- (D) Agricultural labour hired only during harvest

22. The “Equal Remuneration Act, 1976” in India aims at:

- (A) Ensuring equal pay for men and women for the same work
- (B) Providing unemployment benefits to women
- (C) Giving preference to men in hiring
- (D) Fixing a minimum wage for all sectors

23. The “Rashtriya Swasthya Bima Yojana (RSBY)” provided:

- (A) Health insurance to BPL families for hospitalisation expenses
- (B) Free education to children
- (C) Subsidy on fertilisers
- (D) Employment guarantee to youths

24. The “Periodic Labour Force Survey (PLFS)” was introduced by:

- (A) Ministry of Rural Development
- (B) Ministry of Labour and Employment
- (C) National Sample Survey Office (NSSO)
- (D) Reserve Bank of India

25. Which of the following is NOT a cause of unemployment in India?

- (A) Rapid population growth
- (B) Inadequate skill development
- (C) Excess demand for labour in the manufacturing sector
- (D) Mismatch between education and job market

26. The “National Rural Employment Programme (NREP)” was a predecessor of:

- (A) MGNREGA
- (B) Pradhan Mantri Gram Sadak Yojana
- (C) Swarna Jayanti Shahari Rozgar Yojana
- (D) Kisan Credit Card

27. The “Self-Help Group – Bank Linkage Programme” mainly helps:

- (A) Large corporations obtain loans
- (B) Rural women and the poor access micro-credit
- (C) Urban slum dwellers get housing loans
- (D) Farmers purchase seeds

28. “Decent work” as defined by the ILO includes:

- (A) Work with no wages
- (B) Fair remuneration, safe working conditions, social security and equal opportunity
- (C) Only self-employment in the informal sector
- (D) Work that is entirely in the formal sector

29. The “Employment-to-Population Ratio” in India is relatively low because:

- (A) Most people are engaged in agriculture
- (B) A large proportion of the working-age population is outside the labour force (e.g., students, home-makers)
- (C) The country has a very high rate of urbanisation
- (D) The informal sector is fully captured in official data

30. The “National Skill Development Corporation (NSDC)” was set up under the:

- (A) Ministry of Finance
- (B) Ministry of Skill Development and Entrepreneurship
- (C) Ministry of Human Resource Development
- (D) Ministry of Commerce and Industry

SECTION B – VERY SHORT ANSWER QUESTIONS (10 × 2 = 20 MARKS)

Answer each question in 2–3 sentences.

- 31. Define “labour force” and “labour force participation rate”.
- 32. Mention any two features of the “unorganised sector” in India.
- 33. What is “disguised unemployment”? Give one example.
- 34. Name any two government schemes that provide wage employment to rural households.
- 35. State the main objective of the “MGNREGA”.
- 36. What is meant by “skill-mismatch” in the Indian labour market?
- 37. Mention two reasons for the low female labour-force participation rate in India.
- 38. What is the difference between “self-employment” and “wage-employment”?
- 39. Name any two indicators used to measure the extent of unemployment in India.
- 40. Explain the term “jobless growth” with a brief reason.

SECTION C – SHORT ANSWER QUESTIONS (5 × 4 = 20 MARKS)

Answer each question in about 80-100 words.

41. Discuss the major trends in the sectoral distribution of employment in India since 1950.
42. Explain the features and impact of the “Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)” on rural employment.
43. Examine the problems of unemployment and under-employment in India and suggest two policy measures to tackle them.
44. Analyse the role of the “Self-Help Group – Bank Linkage Programme” in promoting employment among rural women.
45. Evaluate the effect of the “Skill India” mission on the employment prospects of the youth.

SECTION D – LONG ANSWER QUESTIONS (2 × 5 = 10 MARKS)

Answer each question in about 150-200 words.

46. “Employment generation in India has not kept pace with economic growth, leading to high levels of unemployment and under-employment.” Critically examine the reasons for this situation and suggest measures to achieve inclusive and sustainable employment.
47. “The shift from agriculture to services has altered the structure of employment in India, but the quality of jobs remains a concern.” Discuss the changing employment pattern, its impact on the labour force, and the policy challenges ahead.

ANSWER KEY & EXPLANATIONS

• 5

Q.No.	Answer	Explanation
1	B	LFPR = (Labour force / Working-age population) x 100.
2	B	Productivity is low due to excess workers on a farm.
3	C	Urban unemployment is typically around 7-9% in recent PLFS data.
4	B	Includes govt, PSUs and firms with >10 workers.
B	MGNREGA guarantees 100 days of wage employment.	
6	C	Voluntary unemployment refers to choice, not a standard economic category of market failure.
7	B	NSS 68th Round is the benchmark for 2011-12 employment stats.
8	B	Own-account workers or employers in own business.
9	B	Hired on day-to-day basis without social security.
10	B	Informal nature: no contracts or steady benefits.
11	A	WPR identifies the proportion of people actively working.
12	A	Agriculture still employs over 40% of the Indian workforce.
13	B	Mission focuses on vocational training and skill standardisation.
14	B	Focuses on financing the 'unfunded' micro segments.
15	C	Growth in high-value sectors (IT/Finance) doesn't absorb mass labour like manufacturing.
16	B	Bridges the information gap between supply and demand of labour.
17	B	Working below skill level or for fewer hours than desired.
18	B	

Q.No.	Answer	Explanation
		Part of the transformation of National Employment Service.
19	B	Common where family labour is used in surplus.
20	B	SJSRY was replaced by NULM later, but focused on urban poverty.
21	B	Transactional jobs like delivery and freelancing via apps.
22	A	Constitutional mandate for 'equal pay for equal work'.
23	A	Focused on health security for the unorganised sector.
24	C	The NSSO (now NSO) conducts these annual/quarterly surveys.
25	C	Lack of demand is a cause; excess demand would reduce unemployment.
26	A	Merge of NREP and RLEGP led to JRY, leading eventually to MGNREGA.
27	B	Directly facilitates micro-credit through groups.
28	B	ILO concept focusing on work with dignity.
29	B	Low participation, especially by women, drives down the ratio.
30	B	Currently functions under the Ministry of Skill Development.

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